Birchline Packaging Inc.
Consolidated Income Statements
(In thousands, except share and per share data)

	Year Ended December 31,	
	2023	**2024**
Revenues	$ 108,065	$ 115,476
Costs and expenses:		
Cost of revenue	48,362	49,527
Selling, general and administrative	48,565	58,423
Total costs and expenses	96,927	107,950
Operating income	11,138	7,526
Other income (expense):		
Interest expense	591	544
Interest income	674	914
Other income (expense), net	(259)	(79)
Income before income taxes	10,962	7,817
Income tax expense	2,533	1,806
Net earnings	$ **8,429**	$ **6,011**
Net income per share:		
Basic	$ 2.08	$ 1.50
Diluted	$ 2.03	$ 1.47
Shares used in computing earnings per share:		
Basic	4,052,990	3,999,939
Diluted	4,159,576	4,095,839

Birchline Packaging Inc.
Consolidated Balance Sheets
(In thousands)

	December 31, 2023	December 31, 2024
Assets		
Current assets:		
Cash	$ 19,416	$ 22,127
Investments	11,015	10,515
Trade receivables, net	13,760	15,639
Inventory	7,870	8,136
Prepaid expenses and other current assets	1,270	1,396
Total current assets	53,331	57,813
Non-current assets:		
Property and equipment, net	44,475	48,241
Goodwill	22,549	22,549
Acquired intangible assets, net	12,274	10,654
Investments	10,227	9,516
Other assets	2,021	1,888
Total non-current assets	91,546	92,848
Total assets	$ **144,877**	$ **150,661**
LIABILITIES AND SHAREHOLDERS' EQUITY		
Current liabilities:		
Accounts payable	$ 4,833	$ 5,008
Accrued expenses and other liabilities	5,828	6,879
Short-term debt	841	740
Total current liabilities	11,502	12,627
Long-term debt, less current maturities	6,443	5,703
Other non-current liabilities	4,623	4,623
Total liabilities	22,568	22,953
Commitments and contingencies		
Shareholders' equity:		
Common stock, $0.001 par value; 11,000,000 shares authorized; 4,093,520 and 3,999,939 shares issued and outstanding at December 31, 2023 and 2024, respectively	4	4
Additional paid-in capital	67,926	68,901
Retained earnings	54,379	58,803
Total shareholders' equity	122,309	127,708
Total liabilities and shareholders' equity	$ **144,877**	$ **150,661**

Birchline Packaging Inc.
Consolidated Statements of Cash Flows
(In thousands)

	Year Ended December 31,	
	2023	**2024**
Operating activities:		
Net income	$ 8,429	$ 6,011
Adjustments to reconcile net income to net cash provided by operating activities:		
Depreciation and amortization expense	7,254	5,308
Stock-based compensation expense	1,886	975
Changes in operating assets and liabilities:		
Accounts receivable	(1,421)	(1,879)
Inventories	(995)	(266)
Prepaid expenses and other current assets	(208)	(126)
Accounts payable	(72)	175
Accrued liabilities	(224)	1,051
Net cash provided by operating activities	14,649	11,249
Investing activities:		
Purchases of property, plant and equipment	(5,467)	(7,454)
Purchases of investments, net	(840)	1,211
Other	0	133
Net cash used in investing activities	(6,307)	(6,110)
Financing activities:		
Repayment of debt	(632)	(841)
Repurchases of common stock	0	(1,587)
Net cash used in financing activities	(632)	(2,428)
Net increase in cash and cash equivalents	7,710	2,711
Cash and cash equivalents, beginning of year	11,706	19,416
Cash and cash equivalents, end of year	$ **19,416**	$ **22,127**